

Caught *by Accident*

The State of HR Identity Fraud Detection —
and the Case for End to End Identity Assurance



Foreword

Talk to enough enterprise leaders about hiring fraud, and a pattern quickly emerges. Sometimes the fraud is caught early — a recruiter's gut instinct, a hiring manager who notices a discrepancy during onboarding, or an IT admin flagging an anomalous device. Far too often, it isn't discovered until months later, when suspicious behavior is reported. And in the worst cases, it isn't caught internally at all — not until a bank, a regulator, or federal law enforcement ask questions the organization can't answer.

Over the past several years, the security industry has embraced a fundamental shift: identity is not merely a log in credential, but continuous assurance of the person behind it. While this principle has taken root within security operations, a critical vulnerability remains: what happens to identity assurance in the 90 days before an employee ever touches a login screen?

Today, that assurance disappears. HR owns candidate risk during screening and IT and Security inherit identity risk the moment credentials are issued. But in the critical window between offer acceptance onboarding, and provisioning, ownership quietly changes hands without clear accountability. Bad actors have noticed. They no longer need to breach enterprise defenses when they can exploit a structural handoff that no one is watching.

This isn't a story about HR falling behind, or about security teams withholding help. Every function is executed according to its traditional mandate. The real problem is that no single owner governs the complete identity arc - from the initial candidate application, through onboarding, to the thousandth authenticated session.

This report exposes that long-overlooked structural gap and presents the business case for unifying identity assurance across the entire enterprise lifecycle.

Bojan Simic
HYPR CEO



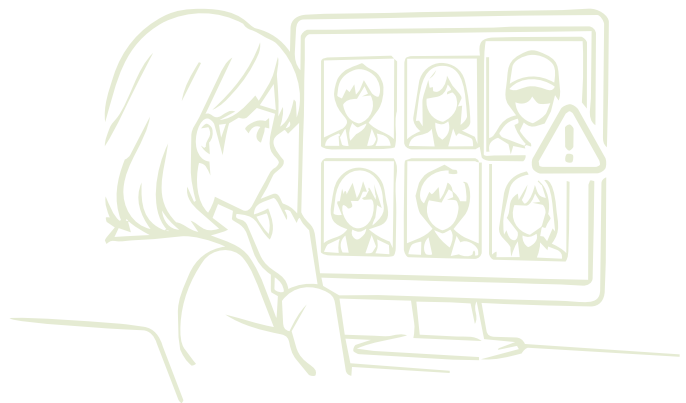
Introduction

HR leaders are under no illusion about the reality of hiring fraud. Among the 500 US HR executives surveyed across Talent Acquisition, HR Operations and HR Technology, 98% have experienced candidate fraud firsthand. Yet, despite this exposure 96% remain confident their organization would detect it. The data in this report reveals why that confidence is dangerously misplaced. The reality becomes clear when examining who actually uncovers the fraud, how long it remains undetected and who is accountable for closing the gap when detection fails.

At the same time, HYPR's 2026 State of Passwordless Identity Assurance report — a global study of 950 IT security decision-makers —examined this vulnerability from the other side of the organizational chart: once an individual is hired, who truly owns the risk of identity impersonation? The answer was just as fragmented. Security, IAM, IT, HR and Legal each carry a piece of that responsibility, and no single function claims ultimate accountability.

Identity risk continuously shifts owners across the workforce lifecycle, and every handoff creates a critical blindspot. Talent Acquisition manages the candidate through interviewing and HR and IT inherit the profile during onboarding, Security and Identity teams carry the account post hire, and the IT Help Desk briefly but critically assumes the risk during every password reset or account recovery request.

Eliminating HR fraud requires more than isolated screening tools or periodic background checks. It demands a continuous identity baseline—one that verifies the human behind the candidate from the moment they apply to their thousandth login. The pages that follow outline the hard data behind this vulnerability, exposing where current defenses break down and how enterprises can finally secure the pre-employment blind spot.



Key Findings

1 Detection remains accidental

68%

of hiring fraud is uncovered by human instinct - someone noticing something “felt off” — rather than by security controls.

WHILE 98%

of HR leaders have encountered candidate fraud and 96% believe they would detect it, this gap exposes an industry relying on untested assumptions rather than verified data.

2 The People Closest to the Problem Trust the Process the Least

The leaders closest to the technology are the least confident in current defenses. HR Technology Directors report below-average confidence and take the longest of any cohort to identify a fraudulent hire. Similarly,

the survey's most technical sectors rely heavily on human observation over system alerts. That same mismatch splits further by gender and sector — some groups' concern and confidence move together, others show a double-digit disconnect.

3 Ownership Is Claimed Pre-Hire, Exercised Post-Hire

WHILE 53%

of HR leaders claim ownership of pre-hire/identity risk, *HYPR's State of Passwordless Identity Assurance* data reveals that responsibility shifts entirely to Security, IAM and IT. The handoff between offer acceptance and provisioning is where enterprise accountability disappears.

4 Identity investment remains reactive

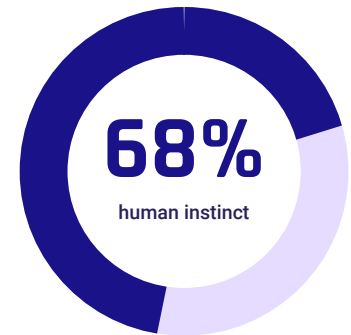
NEARLY 90%

of HR leaders (89.2%) report heightened concern over hiring fraud in the last two years. Yet, parallel data from security executives confirms that identity budgets are overwhelmingly granted after a security incident occurs. Across both HR and IT, investment continues to follow breaches rather than prevent them.

Detection Remains Accidental

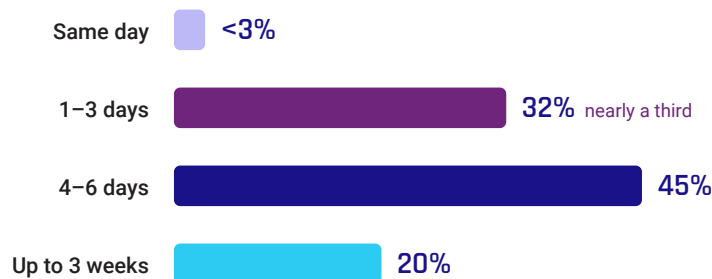
68% of hiring fraud cases were uncovered by human instinct— a manager, a coworker, or a gut feeling - rather than an automated system

HR leaders are under no illusion about hiring fraud — and that is precisely what makes the survey data so troubling. 98% of this group have experienced candidate fraud firsthand, and yet, 96% believe their organization would catch it. Nearly the entire profession has already lived through the failure state they believe won't happen to them. When fraud escapes the pre-hire detection, which occurs in 42% of cases —it is rarely caught quickly: less than 3% are flagged the same day. Nearly a third surface within one to three days, 45% require four to six days, and 20% go undetected for up to three weeks, averaging 5.73 days of unmonitored access. By the time a red flag is raised, the fraudulent hire has already been provisioned with corporate credentials and internal network access.



Post-hire fraud is rarely caught quickly

Time to detection once fraud escapes pre-hire screening



Source: HYPR HR Survey, n=500

Where fraud is identified is also problematic. While screening (52%) and interviews (45%) are the most common detection points, technical assessments (41%), onboarding (45%) and active employment n (42%) aren't far behind. On average, organizations identified 2.2 checkpoints across their fraud encounters, rather than a single primary barrier. This scattered defense does not demonstrate a resilient strategy, it proves that the checkpoint is inconsistent. One fraudulent candidate gets caught during screening, the next is not caught until onboarding, and another operates undetected for weeks.

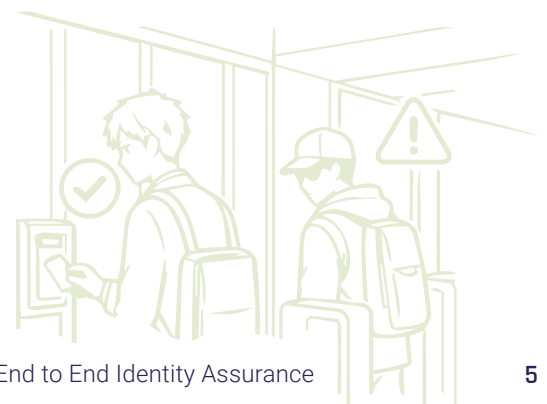
No single checkpoint stops fraud

Where organizations identified candidate fraud



Source: HYPR HR Survey, n=500

A process that catches fraud at every different stage isn't really a security funnel — it's a set of disconnected checks operating in silos. Because no single stage reliably stops candidate fraud, clearing an earlier stage offers no guarantee of identity assurance.



Deployed widely, scoped narrowly

Identity verification: adoption vs. workforce coverage

Organizations deploying IDV tools



Employees actually covered, on average



Source: HYPR 2026 State of Passwordless Identity Assurance, n=950



Every Stage Has a Vendor. No One Has the Whole Picture

HYPR’s State of Passwordless Identity Assurance Report found that 65% of organizations now deploy identity verification (IDV) tools, most restrict their scope - reaching just 28% of employees on average. Rather than providing continuous identity assurance, most enterprise IDV is reserved for specific, high-risk friction points (account creation (79%), high-risk transactions (76%), and credential reset or account recovery (59%) This leaves a blindspot for a fraudulent hire operating undetected outside these narrow windows.

Beyond those isolated moments, detection reverts to legacy reliance: a person noticing an anomaly, assuming someone is looking.

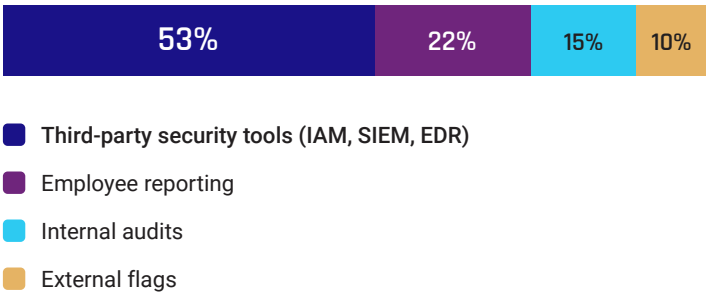
The market has started to notice this gap. Applicant tracking and recruitment platforms are embedding IDV and anti-fraud features directly into their existing workflows - primarily targeting the application and screening stages, where synthetic agents and AI-generated candidates are most rampant. While this represents progress, it reinforces the same pattern documented throughout this report: point in time coverage that fails to continue throughout the entire employee lifecycle. A verification check executed during candidate screening should not carry into onboarding, credential issuance, or during a help desk password recovery call two years later. Identity assurance is being added moment by moment, tool by tool, with no single thread connecting candidate identity to workforce access.



This fragmentation is not unique to HR. Across all identity-based and AI-driven attack vectors, a category with far more automated defenses than hiring alone, only 53% of threats are detected by third-party security tools such as IAM, SIEM or endpoint detection and response. The remaining 47% rely on manual discovery: employee reporting (22%), internal audits (15%), and external flags (10%). Even within security’s purview where automated controls are mandated, nearly half of compromises are still uncovered by accident.

Half of all threats surface by accident

How identity-based and AI-driven attacks are discovered



Source: HYPR 2026 State of Passwordless Identity Assurance, n=950

The People Closest to the Problem Trust the Process the Least

If discovery remains overwhelmingly dependent on human chance, the survey data reveals a second, equally worrying reality: organizational confidence in that detection is fractured, and it drops lowest amongst those closest to the operations.

The leaders who manage the identity and hiring technology stack have the clearest line of sight into its actual limitations. As a result, their skepticism offers the most accurate diagnostics of the true enterprise readiness in this study.

IT & Telecommunications represent the most technically sophisticated sector in the study—the industry best equipped, on paper, to detect fraud. Yet the sector relies on manual human observation at a higher rate than any other group surveyed. This pattern is consistent across the data: the closer any group sits to the mechanics of identity and hiring technology: the more they know about how detection really works, the less willing they are to call it systematic.

The gap splits by who's asked

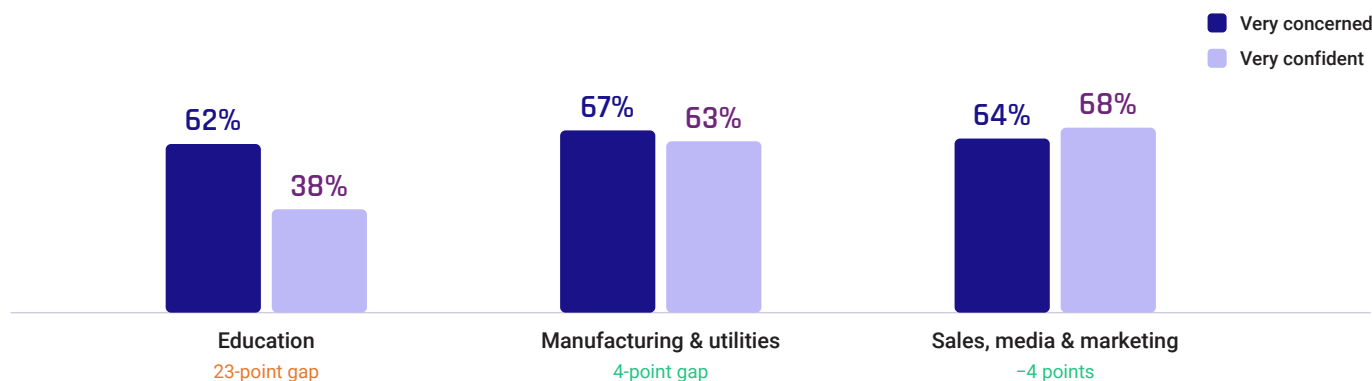
The headline stat, 96% confident versus 98% affected, hides real variation once you look at the gap between how concerned people are and how confident they are, rather than either number alone.

Sector Disparities: Physical Proximity vs. Perceived Safety

Education exhibits the widest disconnect of any sector, with a 23 point gap between heightened worry and trust in current defenses. Manufacturing & Utilities sits at the opposite end, where high concern is matched equally with high confidence. This alignment reflects its hiring model: frontline, in-person roles where identity is verified face-to-face by default. Confidence here is not driven by superior technology, but by physical proximity, which is exactly what remote and hybrid hiring in other sectors have relinquished. Sales, Media & Marketing stands out as the sole segment where confidence actually outpaces concern. It is also the sector relying most heavily on manual, human reporting to uncover fraud (57%).

Concern and confidence come apart by sector

Share “very concerned” about hiring fraud vs. share “very confident” in detection



Source: HYPR HR Survey, n=500 US HR leaders

Ownership Is Claimed Pre-Hire, Exercised Post-Hire

Ownership of pre-hire identity risk exists largely on paper. While HR claims accountability during the candidate stage, the ownership is rarely exercised in practice, and the handoff between who claims the risk and who manages access is what establishes the gray area.

According to respondents, HR claims 53% of ownership for hiring identity risk before an offer is accepted. IT and Security, by contrast, claim a combined 17% at the pre-employment stage, operating with the assumption that their ownership begins only after the handover.

After day one: who security says owns the risk

HYPR's 2026 State of Passwordless Identity Assurance report examined this exact ownership dynamic from the opposite side of onboarding — after an individual has already received credentials. Once access is granted, accountability shifts away from HR.

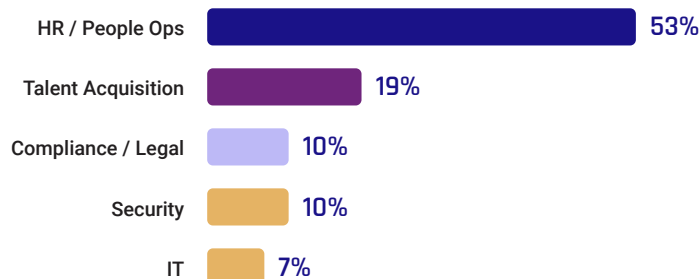
This handoff of identity responsibility exposes a blindspot that threat actors exploit. Prior to employment, HR/People Ops claims 53% of identity risk ownership and Security/IT combined claim just 17%. Post-hire, that flips: Security, IAM and IT assume 73% of total ownership, and HR's share drops to 15%.

Attackers don't need to beat a system; they simply infiltrate the onboarding process while accountability is transitioning between teams.

42% of hiring fraud is detected only after employment begins. Among those post-hire cases, discovery takes an average of four to six days - by which point 98% of fraudulent hires have already been issued company credentials. This exposure window sits squarely in the gap between the team that claims pre-hire ownership on paper and the team that inherits the operational risk in practice.

Before day one: who HR says owns the risk

Share claiming ownership of pre-hire identity risk

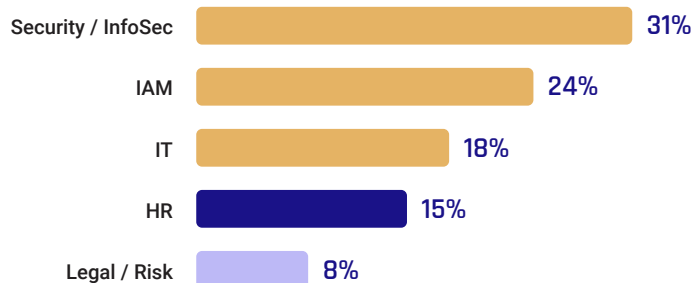


IT and Security claim a combined 17% pre-hire, assuming their ownership begins after the handover.

Source: HYPR HR Survey, n=500

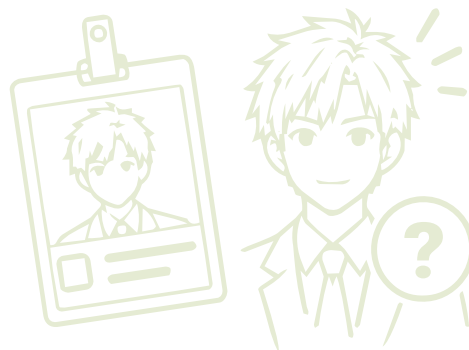
After day one: who security says owns it

Share claiming ownership of post-hire identity risk



Once credentials are issued, Security, IAM and IT hold 73% of ownership and HR's share drops to 15%.

Source: HYPR 2026 State of Passwordless Identity Assurance, n=950



The Cost of Employee Fraud

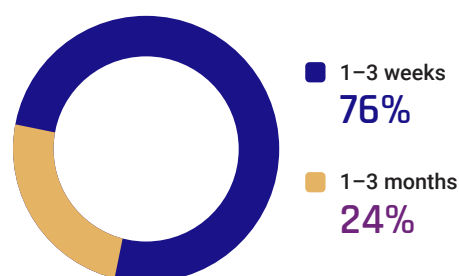
The financial and operational cost of a fraudulent hire is concrete, and it compounds the longer detection takes.

1–3 weeks minimum time required for most organizations to fully resolve a single hiring fraud incident, even in the best case scenario.

- 24% of organizations spend one to three months resolving a single fake hire; while the rest lose one to three weeks. Almost no one clears an incident in under a week.
- By the time identity fraud is caught - typically within 4 to 6 days, 42% of fraudulent hires are already in the system and — 98% of fraudulent hires already hold company credentials.
- 89% of HR leaders express growing concern over candidate fraud over the past two years; 43% say it's grown significantly. Fewer than 1% report declined risk.
- 35% of organizations have deployed identity verification technology in direct response to a fraud incident, taking an average of 2.52 distinct actions per response.
- A single hiring fraud incident forces organizations to absorb compounding costs across multiple areas of the business including, delayed hiring timelines, backfill costs, lost productivity, security exposure, compliance risk, and team disruption — frequently experiencing several at once.

Nobody clears an incident in a week

Time to fully resolve a single hiring-fraud incident



One to three weeks is the best case. Almost no organization resolves a fake hire in under a week.

Source: HYPR HR Survey, n=500

Investment follows the breach

Primary organizational response after a security breach



Around 60% of identity verification and MFA spend is triggered by a breach rather than deployed proactively.

Source: HYPR 2026 State of Passwordless Identity Assurance, n=950

The same pattern shows up on the security side

Data from HYPR's *State of Passwordless Identity Assurance* report proves that reactive spending is not unique to HR - it governs enterprise identity investment across the board. Increased budget allocations (59%) was the primary response to a security breach, outranking audit (51%) or additional staff training (49%). When forced to react, organizations mobilized quickly — but almost exclusively after an incident has exposed their vulnerabilities.

~60% of identity verification and MFA spend is triggered by a breach, rather than deployed proactively

Reactive spending is not, on its own, an irrational choice— allocating capital after a security incident is a rational response. However, when paired with the governance data in Section 3, it points to something more structural: because no single function owns identity risk continuously across the hiring lifecycle, investment only gets authorized once the cost of not investing has already been paid.

One System, Not Three Owners

Discovery by happenstance is neither a training deficiency nor a lack of threat awareness. The data proves that HR and security leaders are acutely aware and deeply concerned. Rather, this is an architectural failure hiding behind untested confidence — a vulnerability most evident to the technical leaders standing closest to the stack.

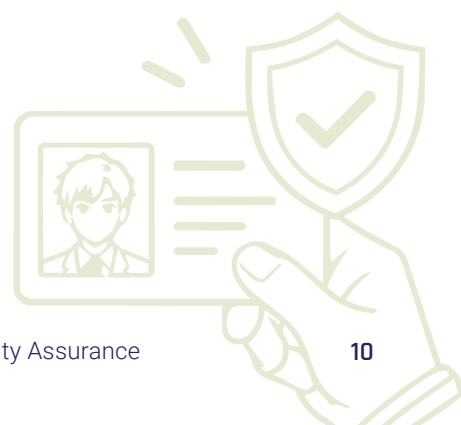
The clearest proof of the systematic breakdown lies in the onboarding handoff itself. Ownership of identity risk is claimed at every stage of the workforce journey — simply belongs to a different silo depending on when the question is asked

- Pre-hire: HR owns candidate screening
- Post-hire: IT and Security own access management once credentials are issued.
- The gap: Nobody owns the transition between the two

Unsurprisingly, this unmonitored transition is precisely where fraudulent hires slip through, go undetected the longest, and cause the greatest financial and operational damage.

Closing this enterprise gap does not require HR to act as a security operator, nor does it require security to conduct candidate interviews. It demands treating identity assurance as one thread — verified at the offer stage, carried into onboarding, and continuously authenticated for as long as the individual holds access. The enterprise can no longer rely on three separate handoffs managed by three isolated teams using three separate toolsets. The resolution does not lie in purchasing better detection solutions for every single stage, but in establishing a unified, accountable system spanning pre-hire, onboarding, and post-employment identity assurance.

Most organizations already possess the core capabilities to solve this challenge. **What remains missing is a unified, continuous owner for identity** across the moments where HR, IT and Security currently hand it off to one another.



Methodology

HYPR HR Survey: Findings on hiring fraud detection and ownership are drawn from a survey of 500 US HR leaders across Talent Acquisition, HR Operations and HR Technology roles, fielded to assess firsthand experience with candidate fraud, confidence in detection, and perceived ownership of identity risk during hiring.

HYPR 2026 State of Passwordless Identity Assurance Report : Produced with S&P Global Energy Horizons / 451 Research, the study surveyed 950 global IT security decision-makers in managerial positions or higher across the US, UK, France, Germany, Australia/New Zealand, Japan and Singapore, at organizations with 250 or more employees, fielded in November 2025.

Where this report cites both studies together, it is drawing a comparison across two independently fielded surveys with different respondent populations, not a single combined dataset — figures from each study are labeled accordingly throughout.



See how HYPR helps secure your workforce

Visit: hypr.com/demo

HYPR

THE IDENTITY ASSURANCE COMPANY

www.hypr.com | hypr.com/contact

© 2026 HYPR. All Rights Reserved.

About HYPR

HYPR, the leader in passwordless identity assurance, delivers the industry's most comprehensive end-to-end identity security for your workforce and customers. By unifying phishing-resistant passwordless authentication, adaptive risk mitigation, and automated identity verification, HYPR ensures secure and seamless user experiences for everyone. Trusted by organizations worldwide, including two of the four largest US banks, leading manufacturers, and critical infrastructure companies, HYPR secures some of the most complex and demanding environments globally.